

CONFIDENTIAL – INTERNAL LEGAL MEMORANDUM

Company: Meridian Tech Solutions, Inc.

Date: July 22, 2025

Prepared By: Office of Corporate Compliance and Legal Affairs

Subject: Preliminary Findings – Financial Fraud Investigation

Executive Summary

This memorandum summarizes the findings of a six-month internal investigation into suspected financial irregularities identified within the Finance and Procurement Departments of Meridian Tech Solutions, Inc. The investigation was initiated following concerns raised during a quarterly financial review regarding unusual vendor payments, unsupported expense reimbursements, and discrepancies in procurement documentation.

Chief Financial Officer (CFO): Jonathan E. Mercer

Lead External Auditor: Rebecca L. Thornton, CPA, Thornton Financial Advisory Group

Investigation Period: January 1, 2025 – June 30, 2025 (6 Months)

The investigation identified multiple transactions appearing to lack legitimate business purpose, sufficient supporting documentation, or proper authorization. Preliminary findings indicate potential misappropriation of company funds totaling **\$180,000.00**.

Fraudulent Transactions Identified

The following transactions have been flagged as potentially fraudulent:

Transaction 1

- Date: January 12, 2025
- Amount: \$22,500.00
- Description: Payment issued to "North Peak Consulting Services"
- Issue: Vendor could not be verified through corporate registration records.

Transaction 2

- Date: February 3, 2025
- Amount: \$18,000.00
- Description: Marketing expense reimbursement
- Issue: No supporting invoices or campaign records located.

Transaction 3

- Date: February 27, 2025
- Amount: \$31,500.00
- Description: Software procurement payment
- Issue: Purchase order approval signatures appear digitally altered.

Transaction 4

- Date: March 18, 2025
- Amount: \$24,000.00
- Description: Vendor advance payment
- Issue: Vendor bank account linked to a former employee.

Transaction 5

- Date: April 9, 2025
- Amount: \$27,000.00
- Description: Equipment acquisition expense
- Issue: No equipment received or recorded in inventory logs.

Transaction 6

- Date: May 14, 2025
- Amount: \$29,500.00
- Description: Emergency project consulting fee
- Issue: Contract documentation missing and work product unavailable.

Transaction 7

- Date: June 6, 2025
- Amount: \$27,500.00
- Description: International supplier payment
- Issue: Payment routed through an unrelated intermediary account.

Total Suspected Fraudulent Amount

\$180,000.00

Potential Legal Violations

Based on preliminary findings, the following statutory violations may be implicated:

1. Corporate Fraud Statute

Section 310.12

Knowingly creating or approving false financial records for personal gain or concealment of unauthorized transactions.

2. Commercial Theft and Misappropriation Act

Section 221.8

Unauthorized diversion or conversion of corporate assets and funds.

3. Electronic Records Integrity Act

Section 405.16

Alteration or falsification of electronic business records, approvals, or financial documentation.

4. Financial Reporting Compliance Statute

Section 118.4

Submission of materially inaccurate financial information affecting corporate reporting obligations.

These findings remain subject to further legal review and verification.

Key Witnesses Interviewed

1. Sarah Whitmore – Senior Accounts Payable Specialist
2. David R. Keller – Procurement Manager
3. Melissa Tran – Financial Analyst
4. Brian O'Connell – Information Technology Security Administrator
5. Angela Ruiz – Human Resources Business Partner
6. Michael Stanton – Former Vendor Relations Coordinator

Each witness provided statements regarding transaction approvals, procurement procedures, vendor onboarding practices, and internal authorization controls.

Evidence Reviewed

Financial Records

- General ledger extracts
- Bank transaction records
- Accounts payable reports
- Expense reimbursement submissions

Electronic Evidence

- Corporate email correspondence
- Document management system logs
- Approval workflow records
- Access control and login audit trails

Procurement Records

- Purchase orders
- Vendor registration files
- Contract agreements
- Invoice submissions

Investigation Materials

- Witness interview summaries
- Internal audit reports
- Forensic accounting analysis
- Compliance review findings

Flags and Concerns

Flag 1 – Missing Receipts

Multiple reimbursement requests totaling approximately \$18,000.00 lacked supporting receipts or original documentation.

Flag 2 – Altered Approval Documents

Digital forensic review identified metadata inconsistencies suggesting modification of approval signatures after submission.

Flag 3 – Unverified Vendor Records

Several vendor files contained incomplete registration information and conflicting tax identification details.

Preliminary Conclusion

The investigation has identified significant indicators of financial misconduct involving unauthorized payments, questionable vendor relationships, altered records, and unsupported expenditures. The cumulative value of suspicious transactions is estimated at **\$180,000.00**. Additional forensic accounting procedures, legal review, and potential referral to regulatory authorities are recommended.

This memorandum is intended solely for internal legal, compliance, executive management, and audit purposes. Distribution outside authorized personnel is prohibited without approval from the Office of Corporate Compliance and Legal Affairs.

Prepared By:

Corporate Compliance Investigation Unit
Meridian Tech Solutions, Inc.

Confidential – Attorney Work Product